



Continuing Disclosure Annual Report

For Fiscal Year Ended June 30, 2018

Prepared for:

CITY OF SAN MATEO



By:

ANALYTICS & COMPLIANCE GROUP

A Division of Urban Futures, Inc.

City of San Mateo
Continuing Disclosure Annual Report for the Fiscal Year Ended June 30, 2018

Affected Issuances:

\$31,990,000
CITY OF SAN MATEO
Sewer Revenue Bonds
2011 Series A

\$32,255,000
CITY OF SAN MATEO
Sewer Revenue Bonds
2014 Series A

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INTRODUCTION

I. BACKGROUND

\$31,990,000 Sewer Revenue Bonds 2011 Series A

On May 11, 2011 the City of San Mateo issued its \$31,990,000 Sewer Revenue Bonds 2011 Series A (the “2011A Bonds”). Proceeds from the sale of the 2011A Bonds were used to (a) refund the City’s outstanding (i) Sewer Revenue Refunding Bonds, Series 1996A, (ii) Sewer Revenue Bonds, Series 1998A, and (iii) Sewer Revenue Refunding Bonds, Series 1998B; (b) finance various improvements to the City’s municipal sewer enterprise; (c) make a deposit into a reserve fund for the 2011 Bonds and the 2003 Bonds; and (d) pay a portion of the costs of issuance of the 2011 Bonds. Please see the Official Statement for the 2011A Bonds as provided online at Municipal Securities Rulemaking Board’s (“MSRB”) Electronic Municipal Market Access (“EMMA”) repository for further background information. Capitalized terms used but not defined herein shall have their meanings as given in the Indenture.

Interest on the 2011A Bonds is payable on February 1 and August 1 of each year, commencing August 1, 2011 with principal payments due on August 1.

\$32,255,000 Sewer Revenue Bonds 2014 Series A

On July 2, 2014 the City of San Mateo issued its \$32,255,000 Sewer Revenue Bonds 2014 Series A (the “2014A Bonds”). Proceeds from the sale of the 2014A Bonds were used to (a) refund the City’s outstanding City of San Mateo Sewer Revenue Bonds, Series 2003; (b) finance various improvements to the City’s municipal sewer enterprise; and (c) pay costs of issuance of the 2014 Bonds. Please see the Official Statement for the 2014A Bonds as provided online at Municipal Securities Rulemaking Board’s (“MSRB”) Electronic Municipal Market Access (“EMMA”) repository for further background information. Capitalized terms used but not defined herein shall have their meanings as given in the Indenture.

Interest on the 2014A Bonds is payable on February 1 and August 1 of each year, commencing February 1, 2015 with principal payments due on August 1.

II. OBJECTIVE

Pursuant to the Continuing Disclosure section of the Official Statement and Continuing Disclosure Agreement/Certificate for the Affected Issuance, this Annual Report is being provided by the Dissemination Agent for distribution to the MSRB's EMMA document repository.

This Annual Report has been prepared by Urban Futures, Inc. at the direction of the City. The information set forth herein has been furnished by the City and/or County, along with other sources believed to be reliable, but no representation as to the accuracy or completeness of any such information is made by the City or Urban Futures, Inc. The City and Urban Futures, Inc. make no representation that this Annual Report contains all information material to make a decision to purchase or sell bonds or any other debt obligations of the City. Any information contained herein which involves estimates, forecasts, projections, and expressions of opinion, whether or not expressly stated, is intended solely as such and is not to be construed as representations of fact by the City or Urban Futures, Inc., and no representation is made that such opinions or estimates will be realized. The information, opinions, and estimates herein are subject to change without notice. The City and Urban Futures, Inc. shall not take responsibility for any statements or information of any kind disseminated to the MSRB or EMMA or any other medium that is not disseminated by and authorized in writing by either the City or Urban Futures, Inc.

III. CUSIP NUMBERS

The CUSIP numbers below are provided for convenience of reference.

City of San Mateo Sewer Revenue Bonds 2011 Series A	
<u>Maturity Date</u>	<u>CUSIP*</u>
8/1/2011	799016DX5
8/1/2012	799016DY3
8/1/2013	799016DZ0
8/1/2014	799016EA4
8/1/2015	799016EB2
8/1/2016	799016EC0
8/1/2017	799016ED8
8/1/2018	799016EE6
8/1/2019	799016EF3
8/1/2020	799016EG1
8/1/2021	799016EH9
8/1/2022	799016EJ5
8/1/2023	799016EK2
8/1/2024	799016EL0
8/1/2025	799016EM8
8/1/2026	799016EN6
8/1/2031	799016EP1
8/1/2036	799016EQ9
8/1/2041	799016ER7

*CUSIP is a registered trademark of American Bankers Association.

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City of San Mateo Sewer Revenue Bonds 2014 Series A	
<u>Maturity Date</u>	<u>CUSIP*</u>
8/1/2018	799016ES5
8/1/2019	799016ET3
8/1/2020	799016EU0
8/1/2021	799016EV8
8/1/2022	799016EW6
8/1/2023	799016EX4
8/1/2024	799016EY2
8/1/2025	799016EZ9
8/1/2026	799016FA3
8/1/2027	799016FB1
8/1/2028	799016FC9
8/1/2029	799016FD7
8/1/2030	799016FE5
8/1/2031	799016FF2
8/1/2032	799016FG0
8/1/2033	799016FH8
8/1/2034	799016FJ4
8/1/2035	799016FK1
8/1/2036	799016FN5
8/1/2039	799016FL9
8/1/2044	799016FM7

*CUSIP is a registered trademark of American Bankers Association.

FINANCIAL INFORMATION & OPERATING DATA

The following financial information and operating data is provided pursuant to the Continuing Disclosure section of the Official Statement and the Continuing Disclosure Agreement/Certificate.

I. FINANCIAL STATEMENTS

As outlined in the Continuing Disclosure Agreement/Certificate, the financial statements required as part of the Annual Report for the Fiscal Year ended June 30, 2018 will be posted to the EMMA document repository upon availability.

II. OUTSTANDING INDEBTEDNESS

The table below presents a summary of the Sewer Enterprise's principal amount of Bonds outstanding as of June 30, 2018. For a detailed description of the Sewer Enterprise's Bonds and any Parity Obligations outstanding, please see the Notes to Basic Financial Statements "LONG-TERM DEBT" starting on page 89 of the City's 2017-18 Comprehensive Annual Financial Report.

CITY OF SAN MATEO Sewer Enterprise Principal Amount of Bonds Outstanding as of June 30, 2018	
Bond Issue	Amount Outstanding as of June 30, 2018
\$31,990,000 Sewer Revenue Bonds 2011 Series A	\$21,620,000
\$32,255,000 Sewer Revenue Bonds 2014 Series A	\$32,255,000

Source: City of San Mateo, Comprehensive Annual Financial Report

III. RESERVE FUND

The table below presents the balance in the Bond's Reserve Fund as of June 30, 2018.

CITY OF SAN MATEO Sewer Enterprise Reserve Fund	
Bond Issue	Balance as of 6/30/2018
\$31,990,000 Sewer Revenue Bonds 2011 Series A	\$1,104,752
\$32,255,000 Sewer Revenue Bonds 2014 Series A	No Reserve

Source: City of San Mateo

IV. AVERAGE FLOW & ACCOUNTS OF THE SUBREGIONAL PARTNERS

The table below presents a summary of the subregional partners average flow and number of accounts during Fiscal Year 2017-18.

CITY OF SAN MATEO Sewer Enterprise Average Flow and Accounts of the Subregional Partners Fiscal Year 2017-18		
	Average Daily Flow (mgd) ⁽¹⁾	Customer Accounts/Parcels ⁽²⁾
San Mateo	5.8	27,961
Foster City	2.3	7,078
CSCSD	0.3	1,429
Belmont ⁽³⁾	0.0	139
Hillsborough	0.9	2,302
Unincorporated County ⁽⁴⁾	-	-
	<u>9.3</u>	<u>38,909</u>

(1) Represents Fiscal Year 2017-18 Average Daily Flow amounts for Foster City, CSCSD, Hillsborough, and Unincorporated County.

Represents Fiscal Year 2016-17 Average Daily Flow amounts for San Mateo and Belmont. Fiscal Year 2016-17 amounts are shown due to timing issues related to the calculation of the property tax roll.

(2) Represents the total number of parcels served by the System for San Mateo, and the total number of customer accounts served by the System for Foster City, CSCSD, Belmont, Hillsborough, and Unincorporated County.

(3) Insignificant average daily flow.

(4) Insignificant

Source: City of San Mateo

V. LARGEST USERS

The table below presents a summary of the City's sewer service charges for the largest users during Fiscal Year 2017-18.

CITY OF SAN MATEO Sewer Enterprise Largest Users Fiscal Year 2017-18				
User	Gallons Billed (in 000)	Percent of Total Billed	Amount Billed (\$)	Percent of Total Billed
Essex Hillsdale Garden Apartments	40,980	1.95%	\$674,416	1.79%
Hospitality Investment LLC Lessee	16,514	0.78%	378,926	1.00%
Bohannon Development Co	13,554	0.64%	364,967	0.97%
ASN Bay Meadows I LLC & Bay Meadows II LLC	21,688	1.03%	360,840	0.96%
Mills-Peninsula Health Services	14,703	0.70%	241,965	0.64%
Borel Estate Co	11,848	0.56%	237,969	0.63%
INTL Loan & Mortgage Co	7,413	0.35%	213,145	0.56%
SPI Bridgepointe LLC ET AL	6,489	0.31%	211,827	0.56%
TAN CPP-1 Associates LLC	8,085	0.38%	202,176	0.54%
SMC Comm College Dist	23,210	1.10%	174,562	0.46%
Largest Users Total	164,484	7.82%	\$3,060,794	8.11%
Total	2,104,279	100.00%	\$37,747,067	100.00%

Source: City of San Mateo.

VI. STATEMENT OF REVENUES, EXPENSES AND CHANGES IN FUND NET POSITION

The table below presents a historical summary of the Sewer Enterprise's statement of revenues, expenses and changes in fund net position.

CITY OF SAN MATEO Sewer Enterprise Statement of Revenues, Expenses and Changes in Fund Net Position					
	2013-14	2014-15	2015-16	2016-17	2017-18
Operating Revenues:					
Charges for Service	\$27,791,099	\$31,582,483	\$30,677,595	\$31,353,084	\$41,289,164
Connection fees	109,111	343,574	209,306	243,297	184,830
Impact fees	481,259	175,275	445,998	193,656	250,523
Other	-	101,236	16,491	-	13,031
Total operating revenues	\$28,381,469	\$32,202,568	\$31,349,390	\$31,790,037	\$41,737,548
Operating Expenses:					
Cost of Sales and Services	\$15,695,578	\$18,181,560	\$21,903,752	\$19,168,030	\$19,347,405
Administration	1,178,526	1,329,433	1,314,170	2,251,034	2,522,561
Depreciation and amortization	3,318,508	3,297,410	3,632,831	3,641,368	4,147,292
Total operating expenses	\$20,192,612	\$22,808,403	\$26,850,753	\$25,060,432	\$26,017,258
Operating Income (Loss)	\$8,188,857	\$9,394,165	\$4,498,637	\$6,729,605	\$15,720,290
Nonoperating Revenues (Expenses):					
Interest income	\$324,021	\$250,398	\$524,455	\$141,945	\$189,435
Gain (loss) on sale of capital assets	-	-	-	-	-
Interest expense and fiscal charges	-2,016,061	-2,586,384	-2,595,526	-2,590,463	-2,523,881
Total nonoperating revenues (expenses)	-\$1,692,040	-\$2,335,986	-\$2,071,071	-\$2,448,518	-\$2,334,446
Income (Loss) Before Contributions and Transfers	\$6,496,817	\$7,058,179	\$2,427,566	\$4,281,087	\$13,385,844
Contributions	1,269,568	2,435,074	11,680,626	4,559,627	2,628,892
Transfers in	-	-	-	-	75,000.00
Transfers out	-	-	-	-	-
Total contributions and transfers	\$1,269,568	\$2,435,074	\$11,680,626	\$4,559,627	\$2,703,892
Change in Net Position	\$7,766,385	\$9,493,253	\$14,108,192	\$8,840,714	\$16,089,736
Net Position					
Beginning of Year	\$94,152,845	\$92,169,725	\$101,662,978	\$115,771,170	\$122,944,951
End of Year	\$101,919,230	\$101,662,978	\$115,771,170	\$124,611,884	\$139,034,687

Source: City of San Mateo, Comprehensive Annual Financial Report

VII. DEBT SERVICE COVERAGE

The table below presents a historical summary of the Sewer Enterprise's net revenues and historical debt service coverage ratios.

CITY OF SAN MATEO Sewer Enterprise Historical Revenues, Expenses and Debt Service Coverage					
	2013-14	2014-15	2015-16	2016-17	2017-18
Revenues					
Charges for Service	\$27,791,099	\$31,582,483	\$30,677,595	\$31,353,084	\$41,289,164
Connection and Impact Fees	590,370	518,849	655,304	436,953	435,353
Interest Income	324,021	250,398	524,455	141,945	189,435
Other	-	101,236	16,491	-	13,031
Total	\$28,705,490	\$32,452,966	\$31,873,845	\$31,931,982	\$41,926,983
Expenses					
Cost of Sales and Services	\$15,695,578	\$18,181,560	\$21,903,752	\$19,168,030	\$19,347,405
Administration	1,178,526	1,329,433	1,314,170	2,251,034	2,522,561
Total	\$16,874,104	\$19,510,993	\$23,217,922	\$21,419,064	\$21,869,966
Net Revenues	\$11,831,386	\$12,941,973	\$8,655,923	\$10,512,918	\$20,057,017
Debt Service					
Series 2003	\$728,254	-	-	-	-
Series 2011A	2,767,057	\$2,760,458	\$2,676,058	\$2,686,433	\$2,682,408
Series 2014A	-	780,479	1,344,365	1,344,365	1,344,365
CSWRCB Loan 25th Ave	-	-	123,756	-	-
State Street Loan	-	-	-	359,943	364,226
Total	\$3,495,311	\$3,540,936	\$4,144,179	\$4,390,741	\$4,390,999
Debt Service Coverage	3.38	3.65	2.09	2.39	4.57

Source: City of San Mateo, Comprehensive Annual Financial Report

VIII. LEGISLATIVE, ADMINISTRATIVE, & JUDICIAL CHALLENGES

As of June 30, 2018, there are no significant legislative, administrative, or judicial challenges to the construction or operation of the Sewer Enterprise known to the City.

IX. CLAIM STATUS

As of June 30, 2018, there are no claims against the Sewer Enterprise regarding construction of any projects.

X. SIGNIFICANT EVENTS

In compliance with the Continuing Disclosure Agreement/Certificate, all material event notices, should they occur, are posted on MSRB's EMMA document repository at the following web address under the "Continuing Disclosure" tab:

\$31,990,000 Sewer Revenue Bonds 2011 Series A

<https://emma.msrb.org/IssueView/IssueDetails.aspx?id=EA341562>

\$32,255,000 Sewer Revenue Bonds 2014 Series A

<https://emma.msrb.org/IssueView/IssueDetails.aspx?id=EP365210>